Topic 3: Responsibility Centers

Sessions 4 - 5

Centralization vs. Decentralization

Organizational structure

It is the arrangement of lines of responsibility within an organization

- Functional structure
- Divisional structure
- Combination of structures

Decentralization -> Autonomy

Advantages:

- Flexibility
- Motivation
- Creativity
- Collective intelligence
- Responsiveness
- Faster decision making
- Trains managers
- Focus subunit managers
- Frees top management

Costs:

- Incongruent decisions
- Unhealthy competition among subunit managers
- Duplication of activities
- Further control

Centralization

- Advantages of centralization:
  - Economies of scale
  - Control of risks
  - Reduce communication costs
  - Resolve conflicts of interest
  - Synergies

Commonly centralized activities

- Investments
- Financing
- Acquisitions (e.g., HP & Compaq)
- Human Resources
- IT equipment
- Payment processes
- Supplier selection
- Ethics

Responsibility Centers

Responsibility centers

Responsibility center: an organizational unit headed by a manager responsible for its activities.



Controllability

Degree of influence a specific manager has over costs, revenues or related ítems for which he/she is responsible

- Few costs are under the influence of one only manager
- What does the current manager control? And his/her precedessor?

Types of responsibility centers

- ✓ Revenue center: manager accountable for its revenues but not its costs. Internal and external customers. E.g. sales units (Zara stores). Performance?

- ✓ Cost center: manager is accountable for its costs but not its revenues. Not possible to identify meaningful sales. Attained budget, customer (internal or external) satisfaction. Controllable costs. E.g. Manufacturing and R&D.

Types of responsibility centers

- ✓ Profit center: manager is accountable for the difference between its revenues and costs. E.g. a stand-alone business unit.
- ✓ Investment center: manager is accountable for the use of its assets and profits. E.g. M&A, Venture Capital, Twiter acquisition by Elon Musk ($44 bn).

WHO IS ACCOUNTABLE FOR WHAT?

Advantages of profit centers

- Managers are accountable for profits
- Managers closer to decisions thus make better decisions
- Decisions are taken more quickly
- Top management can concentrate on more general decisions
- Managers have more freedom to use their initiative
- Profit centers are good training terrain for general managers
- Creates profit consciousness

Disadvantages of profit centers

- Top management loses control
- If top management more informed than responsibility center's manager, lower quality of decisions
- Can create conflicts/rivalry between responsibility centers
- May create more administrative costs
- Lack of general managers to lead the responsibility centers
- May focus managers on the short term profits
- Optimizing each center's profits may not be equivalent to optimizing the organization's profits

An effective management control system

To be effective, management control systems should be:

- closely aligned to an organization's strategies and goals,
- designed to support the organizational responsibilities of individual managers, and
- able to motivate managers and employees to put in effort to attain selected goals desired by top management.

General format of income statement

Revenues (or sales)

- Cost of goods sold

GROSS PROFIT

- Operating expenses (Selling General & Admin)

OPERATING INCOME

- Interest, gains and losses

PRE-TAX INCOME

- Income tax expense

NET INCOME

Balance sheet

- Current assets
  - Cash
  - Accounts Receivable
  - Inventory
- Non-current assets
  - Tangible assets
  - Intangible assets
- Current liabilities
  - Bank borrowings
  - Accounts payable and other payables
- Non-current liabilities
  - Bank borrowings and bonds
  - Other types of liabilities
- Stockholders equity
  - Contributed capital
  - Retained earnings

For class discussion

Cost centers, profit centers, decentralization, transfer prices. Fenster Corporation manufactures windows with wood and metal frames. Fenster has three departments: glass, wood, and metal. The glass department makes the window glass and sends it to either the wood or metal department where the glass is framed. The window is then sold. Upper management sets the production schedules for the three departments and evaluates them on output quantity, cost variances, and product quality.

1. Are the three departments cost centers, revenue centers, or profit centers?
2. Are the three departments centralized or decentralized?
3. Can a centralized department be a profit center? Why or why not?
4. Suppose the upper management of Fenster Corporation decides to let the three departments set their own production schedules, buy and sell products in the external market, and have the wood and metal departments negotiate with the glass department for the glass panes using a transfer price.
    a. Will this change your answers to requirements 1 and 2?
    b. How would you recommend upper management evaluate the three departments if this change is made?

REFERENCES

- Chapter 23: Horngren et al. book
- Business case, North Lake Medical Center (HBS TCG103-PDF-ENG).